

The world is entering a 'high interest rate, low growth' era, the impact of which is expected to set in towards the end of 2022; founders and investors need to reset

es, excess hiring has been done and it is getting moderated now," he says.

The layoffs are also a result of a greater focus on profits, a practically unknown phenomenon for start-ups till lately. A little over a month after sacking nearly 1,000 employees, Unacademy Co-founder and CEO Gaurav Munjal told his employees in an internal email: "We must learn to work under limits and focus on profitability at all costs." What that also means is that working in a start-up has suddenly turned risky for employees, especially those in the sales and marketing teams that were driving growth.

"These companies have raised larger rounds in the recent past. They are sitting on high cost structures, they understand they need to grow fast and raise the next round, which doesn't come very easily now. So, it is only prudent for them to look to cut costs," says Fundamentum's Jain. "The key risk is that these companies are not profitable, so they cannot fund their own growth. Spending money for growth should be a lever that companies should be able to switch on and off depending on the external environment."

Parag Dhol, General Partner at Athera Venture Partners (formerly Inventus India), says there are two kinds of start-ups. One, which has an established revenue model, can get to profitability and therefore commands a high valuation. Two, which got funded because it was a great storyteller, but has not made much headway in terms of real revenues. "In a downturn that lasts for a year or beyond, the latter kind of start-ups will go bust if

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Investors are increasingly demanding that their portfolio start-ups become sustainable, cut costs, control cash burn, and extend their runways

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Layoffs at start-ups are rising. Around 10,000 employees have been sacked since the beginning of 2022

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The silver linings include the VC dry powder left over from funds raised in 2021; a new set of large global investors looking at India's fast-growing digital GDP; and a competitive advantage due to the uncertainty in China

they are unable to adjust the cost line or find additional revenue lines," says Dhol.

THERE ARE some clear trends in late-stage deals. At 59, the number of such deals was higher in January-May 2022 compared to 36 in August-December 2021. But the total deal value has shrunk to \$5 billion from \$8 billion in the same period, indicating that VCs are investing much smaller amounts now than before in more matured start-ups.

The other reason is a deliberate delay in raising funds from start-ups to avoid a flat or down round. In an environment of funding freeze, valuation exit multiples get corrected. While a typical SaaS firm would fetch a valuation of 10-12x on its top line in a normal scenario, exit multiples went past 20x as investors were willing to go aggressive and were open to getting into companies at exorbitant valuations given how the market was growing. But now, with the funding tap squeezed, funds are taking a conservative approach and the multiples are going down, resulting in renegotiations on valuations and, sometimes, withdrawal of term sheets.

BT has learnt that several late-stage deals including agri-tech start-up De-Haat's planned round from exiting investor Sofina, and credit card platform OneCard's new round from Temasek and GIC are stuck in deadlocks over valuation disagreements. As per sources BT spoke to, SoftBank is unlikely to make any new investments in the next one quarter.